Meta Platforms, Inc.

META NASDAQ

Hold	$606.73 ▼ 1.34%	12M Price Target	52-Week Range	Market Cap
		$680.00	$520.26 – $779.82	$1.55T

META: Capex Shock Hangover — Market Punishing the AI Spend

WHAT HAPPENED

- META is down another 1.3% today, extending a slow bleed from $624 last Wednesday to $606 now. No fresh news, no filings — this is pure digestion of the recent earnings capex guide. The market is saying "we don't love you spending $100B+ on AI data centers next year."
- The real tell: options flow is screaming bearish with massive unusual put buying at $610/$612.50/$615 strikes expiring in November — 50x normal open interest on the $610s. Someone big is either hedging or betting on more downside into month-end.

WHY IT MATTERS

Here's what I think is really happening: META is caught in the same storm as every hyperscaler right now — Wall Street has fallen out of love with the "spend infinity on AI" narrative and wants to see ROI (return on investment — basically, is the money they're pouring in actually coming back as profit). The fact that insiders (COO Olivan, Director Alford) sold at $640 just days before this slide isn't a coincidence; they know the Street's patience with capex is thin. Meanwhile, consumer discretionary and financials are ripping (+2.4%, +1.9%) — classic risk-on rotation, but META is being treated like a growth-at-any-price name even though it throws off $60B+ in free cash flow. The setup here is a stock in a sentiment air pocket, not a broken business — but it needs a catalyst (a Trump admin AI win, a Reels monetization beat, or a capex walk-back) to break the downtrend.

POLICY & POLITICAL WATCH

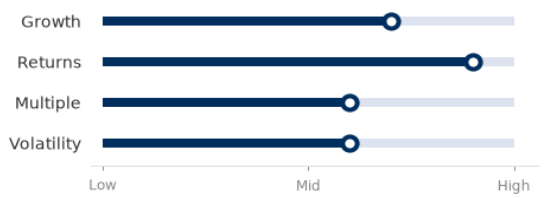
Two big things on the policy board: First, the Trump administration's AI executive order framework from earlier this year explicitly favors domestic AI buildouts and has been pushing to loosen permitting for data centers and power infrastructure — that's a direct tailwind for META's capex plans (they need gigawatts of power for Llama training). Second, watch the KOSA (Kids Online Safety Act) revival chatter in the Senate — if it gets attached to a year-end package, Instagram/Facebook face new compliance costs and liability exposure. Also keep an eye on the EU Digital Markets Act fines pipeline — Brussels has been circling META's "pay or consent" ad model and a ruling could hit any week.

IS IT EXPENSIVE?

Key Data

Price (USD)	**$606.73**
12M Price Target	**$680.00**
Upside / (Downside)	**+12.1%**
Market Cap	**$1.55T**
FY2026E Revenue	**$196M**
FY2027E Revenue	**$225M**
FY2026E EPS	**$24.50**
FY2027E EPS	**$28.75**
Fwd P/E	**24.8x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

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PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$650.00**	$615.00	**$570.00**
6 Months	**$720.00**	$650.00	**$540.00**
1 Year	**$820.00**	$680.00	**$520.00**
2 Years	**$950.00**	$760.00	**$480.00**
5 Years	**$1400.00**	$950.00	**$500.00**
10 Years	**$2200.00**	$1300.00	**$450.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Discretionary (+2.4%) and Financials (+1.9%) are leading — classic risk-on rotation, likely tied to rate-cut optimism and holiday spending reads. Materials ripping (+4.5% weekly) smells like infrastructure/tariff positioning.

COOLING OFF: Mega-cap tech and communication services are the quiet laggards — the "AI capex indigestion" trade is real and META/GOOGL/MSFT are all feeling it.

ROTATION WATCH: Money is flowing OUT of hyperscalers and INTO cyclicals and small caps — this is a sentiment shift, not a fundamental one, but it can last 4-8 weeks.

RELATED PLAY: If you believe the AI capex spend is real (even if the stocks hate it), the picks-and-shovels names benefit — think VRT (Vertiv, data center cooling), ETN (Eaton, power infrastructure), and the nuclear names like CEG for the power demand.

WHO'S WINNING IN THIS SPACE?

- NFLX (Netflix): Taking share of ad-supported streaming — direct competitor for the ad dollars META needs.
- SPOT (Spotify): Riding the same ad-tech wave without the capex albatross — cleaner story right now.

META CONTEXT: META is lagging the broader market and most of its mega-cap peers over the past week — at 33% of its 52-week range, it's firmly in the lower half, which tells me sentiment is washed out but not capitulated. Historically, buying META when it's this hated on capex concerns has worked — but you need to be patient for 1-2 quarters.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the business a lot but hate the setup; cautiously constructive, not pounding the table.

POSITION SIZE: 3-5% — core holding size but don't go overweight until we see capex discipline or an ad revenue acceleration.

ENTRY POINTS: Scale in: 1/3 here around $605, 1/3 at $585, 1/3 at $560 if we get a flush. Don't chase above $640 until it reclaims the 50-day.

TIME HORIZON: 12-18 months — the catalyst I'm waiting for is Q4 earnings in late January where Zuck either justifies the capex with revenue proof or walks it back.

WHEN TO BAIL: If ad revenue growth drops below 10% YoY, OR capex guide for 2027 blows past $130B with no monetization story, OR the EU drops a $5B+ fine — any of those and I'm cutting.

HEDGING: Simple protection — buy Dec $580 puts (gives you insurance if the stock drops to $560), or just keep this position small enough that a 15% drawdown doesn't ruin your week.

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